

The Weekly Digest

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THE WORLD THIS WEEK

Politics

Hopes for a US-Iran deal to end their war and reopen the Strait of Hormuz faltered as America shot down Iranian drones and conducted air strikes, leading to Iranian retaliation and missile interception by Kuwait. Israel intensified its offensive against Hizbullah in southern Lebanon, extending its combat zone and ordering evacuations, while Hamas confirmed Israel killed the new leader of its armed wing in Gaza. In the Democratic Republic of Congo, the WHO called for a ceasefire to combat a severe Ebola outbreak, as fighting hindered response efforts and Canada and the Bahamas imposed travel bans. Senegal's President Faye dissolved the government, replacing Prime Minister Sonko over

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ballooning debt, though Sonko was later reinstated as an MP and elected speaker, deepening their rivalry. Donald Trump's favored candidate, Ken Paxton, won the Republican Senate primary in Texas, defeating incumbent John Cornyn, while Tulsi Gabbard stepped down as America's director of national intelligence for personal reasons, after being increasingly sidelined by Trump. Elsewhere, a coalmine explosion in China killed 82, the Baloch Liberation Army claimed a deadly suicide-bombing in Pakistan, and Kyiv endured one of Russia's heaviest bombardments, destroying the Chernobyl museum. Turkey saw a "judicial coup" as a court overturned opposition leadership election results, reinstating Kemal Kilicdaroglu, and Spanish police investigated corruption at the ruling Socialist Party amidst protests demanding the prime minister's resignation. Mark Carney, Canada's prime minister, warned Alberta separatists against leaving the federation, comparing them to Brexiteers, as a ballot for a secession referendum approaches, and Mexico allowed Iran's

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football team to cross into America for the World Cup despite Trump's safety concerns.

Business

BP's share price fell sharply after the abrupt removal of chairman Albert Manifold, with the board citing "governance oversight and conduct" concerns, which news reports suggested were due to his pugnacious managerial style; Manifold denied the claims, attributing his ousting to his drive for cost changes. SpaceX's redesigned V3 Starship rocket had a mostly successful inaugural test, with the upper part releasing satellites and performing a planned ocean landing, though the booster lost control and fell into the Gulf of Mexico. The Dutch government blocked an American takeover of Solvinity, a digital ID platform provider, citing a "possible risk to the public interest," marking the first such block of a US acquisition since 2020. Delivery Hero confirmed a takeover approach from Uber, signaling further consolidation in the food-delivery industry, following

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DoorDash's acquisition of Deliveroo last year. Micron and SK Hynix surpassed \$1trn in market value, joining Samsung, driven by surging demand for memory chips from AI data centers, which also propelled South Korea's KOSPI index to a record high. Nvidia's CEO Jensen Huang announced plans to invest \$150bn a year in Taiwan, calling it the "epicentre of the AI revolution," to be closer to TSMC, a key semiconductor manufacturer. Samsung's chip business staff accepted a profit-sharing deal, averting a damaging strike, while the European Central Bank met with euro zone banks to discuss AI-related security risks, particularly Anthropic's Mythos model. Sri Lanka's central bank unexpectedly raised its benchmark interest rate by one percentage point to 8.75%, its biggest increase in three years, to combat surging inflation driven by energy prices and a depreciating currency. Starbucks Korea's "tank" tumbler marketing campaign on May 18th, "Tank Day," sparked public outrage and calls for a boycott due to the date coinciding with a 1980 massacre in Gwangju and the

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campaign's insensitive strapline, leading to the group head's apology and the operator's boss being sacked.

The weekly cartoon

This week's cartoon humorously depicts the ongoing, confusing situation between America and Iran, where a potential deal constantly oscillates between being "close" and "on shaky ground." The accompanying text offers links for deeper context, including insights into Donald Trump's unpredictable stance and the likelihood of the conflict reigniting. It serves as a visual commentary on the complex geopolitical developments of the week.

LEADERS

Smart tech is making war a dumber choice

Modern warfare technology, while advanced, has paradoxically made wars of choice "dumber" by making

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ground combat harder for stronger armies and empowering weaker powers to cause significant havoc. The wars in Ukraine and Iran exemplify these truths, showing that even superior military kit does not guarantee swift victory or capitulation. Western armies are lagging in adapting to this new landscape, needing more counter-drone defenses, realistic training, and bold integration of unmanned systems. The widespread use of sensors, cheap drones, and AI-enabled targeting systems has transformed battlefields, increasing transparency and the speed of target destruction, but also straining the laws of war through brazen violations by state and non-state actors alike.

The imperial vision of Ethiopia's Abiy Ahmed

Abiy Ahmed, Ethiopia's prime minister, is poised for re-election, driven by an ambitious vision to establish Ethiopia as the dominant power in the Horn of Africa, marked by economic growth and national pride. While

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he has opened the economy and initiated grand projects, his consolidation of power, evidenced by a lack of electoral choice and a likely constitutional change to extend his rule, risks instability. His policies have fueled ethnic rebellions, including a civil war in Tigray, and his desire for Red Sea coastline alarms Eritrea, raising the specter of a catastrophic regional war. Outsiders are urged to use their leverage to guide Abiy towards a less dangerous path, mindful that unchecked emperors often undo themselves.

How East Asia should respond to its China shock

North-east Asia's economies are experiencing an AI-driven boom in high-tech sectors like chips, but this masks a broader deindustrialization caused by intense competition from China across manufacturing. This over-specialization creates fragility due to the volatile tech cycle and reliance on US-China supply chains, making the region vulnerable to protectionism. The

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article argues that these rich economies need to reform outdated economic structures that prioritize exports over domestic demand, by liberalizing labor markets, improving pension systems, and reducing financial engineering. Instead of doubling down on aggressive industrial policy and subsidies for already-dominant firms, the region should foster domestic dynamism and diversify its international trade to become more resilient.

Attacking Cuba would be a huge mistake

Donald Trump is pressing for regime change in Cuba, considering military force after imposing an oil embargo that has worsened conditions on the island. While Cuba's communist rulers are condemned for their human rights abuses and economic mismanagement, military intervention is deemed highly risky and unlikely to succeed, given the deep entrenchment of the dictatorship and the poor record of nation-building. A more viable, albeit challenging, option is a gradual transition through forceful and shrewd negotiations, involving sanctions

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relief, humanitarian aid, free internet access, and economic reforms in exchange for prisoner releases and reduced repression. Such a path aims to open Cuba to private investment and boost its economy, acknowledging that genuine change will be slow and complex.

Why the world needs more franchises

Franchises have quietly generated immense wealth and happiness in America, with independent operators running everything from McDonald's to Pilates studios, exemplifying a successful economic model. This system thrives by aligning incentives and dividing labor between franchisors (brand/product focus) and franchisees (local adaptation), making it effective for dispersed businesses where monitoring staff is challenging and local market knowledge is crucial. The article advocates for other countries to adopt this model and for America to protect its franchise economy from overregulation, such as proposals to make franchisors joint employers, which

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would increase legal risks and undermine the model's advantages. Franchising is presented as an efficient, job-creating mechanism that offers a viable path to prosperity, especially in industries less threatened by AI.

LETTERS

Is overgrazing a problem for conservation?

A selection of correspondence addresses various topics, including a debate on whether overgrazing is a problem for conservation, with one letter arguing that proper management of livestock can save savannahs from desertification. Other letters discuss the accuracy of claims about mammary glands, personal struggles with breastfeeding despite WHO guidance, the value of lactation consultants, and defenses of Sir Keir Starmer's legislative record amidst calls for his resignation. Further letters touch on the futility of survival bunkers, the

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legacy of Admiral Hyman Rickover in submarine technology, the risks of bioterrorism from scientists (with or without AI), and a personal guide to making sense of precise percentages.

BY INVITATION

A central banker's lessons from a fragmented decade

François Villeroy de Galhau, the departing head of the Banque de France, reflects on a turbulent decade for central bankers, drawing four key lessons. First, monetary policy, despite unconventional tools like quantitative easing, effectively tackled deflation and inflation without a recession, though long-dated forward guidance and negative interest rates proved less convincing. Second, central bank independence is a vital prerequisite for effectiveness, relying on a clear mandate,

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autonomy over means, and democratic accountability for results. Third, the crisis of multilateralism necessitates a shift to "pragmatic plurilateralism," with selected countries co-operating on specific issues like financial stability and AI. Finally, Europe's resilience depends on its speed and ability to deliver on reforms, reconciling social models with creative destruction and accelerating integration to counter global challenges.

ESSAY

The dangerous delusion of modern warfare

The defense editor reflects on how modern warfare has been reshaped by technology, leading to a "dangerous delusion" among great powers that easy victories are achievable. The conflicts in Ukraine and Iran highlight a new battlefield transparency, where sensors and cheap drones make ground combat exceptionally perilous and

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enable weaker adversaries to inflict significant damage. While some argue this leads to static attrition, others anticipate new tactics that will restore maneuver, emphasizing constant adaptation in a Darwinian environment. The essay critiques the focus on "knock-out blows" via superior technology, noting that even advanced forces struggle to achieve strategic objectives against cunning, resilient defenders. It also raises concerns about the erosion of the laws of war and the escalating risks of miscalculation in a world where nuclear arms control has ended and new forms of great-power conflict are plausible.

UNITED STATES

How the Supreme Court both checks and empowers Donald Trump

The Supreme Court under Chief Justice John Roberts

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presents a complex picture of both checking and empowering Donald Trump. While the court has delivered landmark conservative rulings on abortion, affirmative action, and gun rights, benefiting Trump's agenda, it has also demonstrated willingness to rule against him on issues like "Liberation Day" tariffs and proposed executive orders on birthright citizenship, where his legal interpretations were strained. SCOTUSbot predictions indicate further defeats for Trump in cases like the removal of a Federal Reserve governor. However, in cases shaping the structure of government, such as presidential power over independent agencies and voting rights, the conservative majority is moving right, often with consequences that politically favor Trump and the Republican Party, making it increasingly difficult for the court to maintain an apolitical reputation.

Meet the Republicans defying Donald Trump

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A "YOLO caucus" of Republican senators, including lame-ducks and those unfettered by electoral fears, are beginning to defy Donald Trump's agenda, signaling a new, albeit potentially short-lived, intraparty insurgency. This pushback emerged after the administration proposed a controversial \$1.8bn "lawfare" fund for allies, drawing sharp criticism from figures like Mitch McConnell and Thom Tillis. The defiance, also seen in votes to limit the president's war powers in Iran and the shelving of an immigration enforcement bill, is causing problems for Trump, who admits uncertainty over his control of Senate Republicans. However, many of these defiant lawmakers are likely to be replaced by Trump loyalists, and the coming January could bring Democratic control of Congress, suggesting a limited window for this Republican rebellion.

The Trump administration's big move to limit legal immigration

The Trump administration is attempting a dramatic

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overhaul of legal immigration by requiring most green-card applicants to leave the United States for consular processing abroad, effectively ending the "adjustment of status" process. This policy, described as designed to slow legal migration, would separate hundreds of thousands of families and freeze a large share of applications, especially given visa processing pauses in many countries and the risk of ten-year re-entry bans for those who overstayed visas. Immigration lawyers are preparing to challenge the policy in court, deeming it legally unsound and expecting swift judicial intervention, though it will undoubtedly make the process more expensive and unpredictable. The administration's underlying goal appears to be to deter applications and, in effect, reduce the number of legal immigrants.

The refugees Donald Trump wants are white and middle-class

Donald Trump's administration is prioritizing white,

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middle-class Afrikaners from South Africa for refugee status in America, raising their quota significantly while cutting support for other refugee groups. This policy is based on Trump's unsubstantiated claims of "genocide" against white South Africans, though they do experience government-sponsored racial discrimination. These "new modality" refugees often express surprise at America's threadbare social safety net and expect a higher standard of living, contrasting with traditional refugee experiences. Critics argue the refugee narrative undermines Afrikaner advocacy for solutions within South Africa and that the policy smacks of preferential treatment.

Are Angelenos angry enough to elect an insurgent as mayor?

Los Angeles is experiencing a highly polarized mayoral primary, with incumbent Karen Bass facing strong challenges from Republican Spencer Pratt, a reality TV villain, and Democratic Socialist Nithya Raman.

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Widespread public discontent stems from the city's population decline, sky-high housing costs, and failing public services, leaving Bass vulnerable. Pratt leverages "Trumpian grievance politics," blaming the incumbent for personal misfortunes and promising radical change to address urban decay and homelessness. Raman, an urban planner, offers a different path, focusing on housing and fiscal responsibility. The malaise in Los Angeles is scrambling traditional political alignments, with voters considering insurgent candidates amidst deep dissatisfaction with the status quo.

Why can't Elon Musk do for politics what he's done for industry?

Elon Musk's political contributions are making civilization "dumber" and more fearful, a stark contrast to his revolutionary impact on industries like space and automotive. Unlike his innovative approach to business, Musk's politics are atavistic, marked by a populist style, large lottery-style payouts to voters, and apocalyptic

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rhetoric. His posts on X increasingly promote white racial consciousness and warn against "multiculturalism," echoing his grandfather's technocratic and racially conservative views. Lexington argues that despite his immense technological achievements, Musk perpetuates primitive and divisive ideas, failing to apply the constructive competition and rigor he brings to his companies to the crucial realm of politics.

THE AMERICAS

Would American military action against Cuba work?

The Trump administration is reportedly considering military action against Cuba, fueled by frustration over stalled negotiations and the recent indictment of Raúl Castro. Experts outline three risky options: a

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Venezuela-style snatch operation, limited strikes, or a full-scale invasion, all with uncertain outcomes. While Cuba's military is diminished, an occupation could lead to guerrilla warfare, and limited strikes might solidify regime resistance rather than compel concessions. Seizing Castro might not change the entrenched communist system, and reconstructing Cuba economically and politically would be an immense challenge for an administration "allergic" to nation-building.

Could Donald Trump save Cuba's economy?

The article explores whether Donald Trump could revive Cuba's economy if the communist regime were removed, prompting interest from Cuban-American investors. While lifting the fuel blockade and sanctions would bring immediate relief, Cuba's economy suffers from fundamental issues beyond state control, including modest natural resources and underdeveloped industries.

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Boosting tourism, liberalizing small businesses, and reforming agriculture present opportunities, but also significant challenges in infrastructure, finance, and potential social disruption. The immense capital and political will needed, coupled with the risks of continued political instability, mean that any military intervention might yield minimal economic reward.

Colombia's pivotal, polarised election could not be tighter

Colombia is facing an exceptionally tight and polarized presidential election, likely headed to a run-off between hard-left Iván Cepeda, establishment center-right Paloma Valencia, and Trump-loving populist Abelardo de la Espriella. The election, occurring amidst rising violence and economic challenges under the current left-wing president, Gustavo Petro, will signal the direction of Latin American politics. Candidates offer contrasting visions: Cepeda promises peace negotiations and welfare spending, de la Espriella advocates for Bukele-style

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mega-prisons and free markets with populist caveats, and Valencia focuses on security, tax cuts, and support for the informal sector.

INTERNATIONAL

Centrists crying ?Wolf!?

Centrist leaders across liberal democracies are grappling with low voter approval and immense global challenges like Russian aggression, Chinese economic dominance, and climate change, while populists effectively deny these problems or offer simplistic solutions. The article suggests that centrists' attempts to rally public support for costly policies by exaggerating impending catastrophes can backfire, leading to voter skepticism. Instead, responsible politicians must focus on prudent investment, build patient coalitions, and make difficult choices to address long-term vulnerabilities without

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resorting to alarmism, acknowledging that complete independence from rivals or satisfying all voters is impossible.

ASIA

Illiberal leaders in mainland South-East Asia revamp their regimes

Mainland South-East Asian countries, including Vietnam, Cambodia, Thailand, and Myanmar, are witnessing a "springtime for hard men" as illiberal leaders consolidate power and revamp their regimes, often through generational transfers or strategic electoral victories. Vietnam's To Lam, Cambodia's Hun Manet, Thailand's Anutin Charnvirakul, and Myanmar's Senior General Min Aung Hlaing have strengthened their authority, but face immediate challenges from the Gulf War's energy shock and longer-term issues of

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over-reliance on China. While increased regional integration and energy cooperation offer potential solutions, political tensions, such as border conflicts and protectionist economic policies, hinder deeper collaboration among these authoritarian states.

Japan's beloved Indian restaurants are under threat

Japan's numerous Indian restaurants, predominantly run by Nepalese immigrants, are facing an existential threat due to tightened immigration rules for "business management" visas. The government's increased minimum capital requirement and mandate to employ Japanese workers, aimed at combating shell companies, are largely unattainable for most small curry houses. This policy shift, driven by a broader anti-immigration sentiment, is making it difficult for foreign restaurateurs to enter or sustain businesses. The unexpected casualty is a vibrant culinary sector that contributes culturally and economically, potentially leading to the disappearance of

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these beloved lunch options.

Indonesia's erratic president grabs the country's commodity exports

Indonesian President Prabowo Subianto announced the creation of Danantara Sumberdaya Indonesia (DSI), a new state-owned agency, to act as the sole buyer and seller of key commodity exports like coal, palm oil, and nickel. This dramatic intervention, intended to boost tax revenue by curbing under-invoicing and to prop up the tumbling rupiah by mandating foreign-exchange deposits in state banks, has alarmed the business community. Critics fear the vast, seemingly half-baked scheme will slow exports, squeeze corporate margins, and signal a deep shift away from market-oriented policies, deepening a sense of crisis in Indonesian policymaking despite initial government reassurances and some exemptions.

War has not deterred Asian Muslims from

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the hajj

Despite travel disruptions and soaring jet-fuel prices caused by the Gulf War, around 1.7 million Asian Muslims are still expected to undertake the hajj pilgrimage, driven by its religious significance. While some pilgrims have faced alternative routes and there are worries about airspace closures, Saudi Arabia has maintained a focus on worship, welcoming thousands of Iranians. However, the conflict has exacerbated the rising costs of the hajj, making it increasingly unaffordable for middle-class pilgrims in several Asian countries due to inflation and depreciating currencies. Governments are offering financial aid, and some are considering cheaper alternatives like sea travel, but the increasing expense highlights a growing gap between rich and poor pilgrims.

Narendra Modi gives India's elite a taste of the bad old days

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India's Prime Minister Narendra Modi, facing an energy shock from the Middle East war and a devaluing rupee, has called for austerity measures from the country's elite, including working from home and avoiding foreign travel. This "bad economics" approach, focusing on exhortation rather than market price adjustments, is seen as "worse politics" as it targets a small, taxpaying elite who already feel underserved by public services and are weary of sacrifices. The message evokes India's "scarce foreign exchange" past, contradicting Modi's promise of "better days" and disappointing an elite that expects economic growth and national pride. Their dissatisfaction is growing, indicating a potential challenge to the government's perceived authority.

CHINA

China's world-beating solar industry is in turmoil

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China's dominant solar industry is facing severe turmoil despite global energy disruptions, grappling with a confluence of falling domestic demand due to overloaded power grids, massive oversupply from years of frenzied investment, and rising protectionism in Western markets. Brutal price wars have led to widespread company losses and bankruptcies since 2024, signaling a painful consolidation for the world's leading solar panel manufacturer. Chinese officials have stepped back from lavish subsidies, and geopolitical tensions are forcing some companies to outsource production abroad to circumvent trade barriers. The industry is in a challenging period, with slow growth anticipated even if installations rebound.

A coalmine explosion lays bare China's two-speed economy

A gas explosion at a Shanxi coalmine, killing 82, tragically highlighted China's "two-speed economy," where rapidly advancing future industries contrast with

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persistent, dangerous practices in older sectors. Investigations revealed systemic safety violations, including hidden tunnels, illegal subcontractors, and unregistered miners, which state media reported in surprising detail under President Xi Jinping's directive. Despite significant reforms since 2000 that reduced mining deaths, the rate remains considerably higher than in other major coal-producing nations, particularly in poorer provinces like Shanxi where many still depend on hazardous underground work. The disaster underscores the human cost and regulatory challenges in modernizing China's foundational industries.

Bowing to online fury, China's censors ban a prize-winning film

China's censors have banned the prize-winning docudrama "Her Heart Beats in its Cage," depicting a woman who killed her abusive husband, following an explosion of online outrage. Despite initial state media praise, netizens, fueled by nationalism and "manosphere"

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sentiments, claimed the film misrepresented court documents by portraying the killer as a victim, viewing it as a Western-backed feminist plot. This swift official response, beyond typical Communist Party anxieties, reflects the powerful influence of online public opinion in shaping cultural discourse and censorship decisions in China.

China's diplomatic successes are broad but shallow

China has achieved broad diplomatic successes, drawing numerous world leaders to Beijing and engaging across stark geopolitical divides, a feat attributed to its economic clout and a "thin approach to diplomacy." This strategy prioritizes "partners" over formal "allies," demanding little beyond non-interference in its internal affairs and openness to its exports, while offering limited military support in return. This allows China to cast a wide net of influence, but also highlights the parochial and conservative nature of its global ambitions, primarily

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aimed at preventing others from checking its power rather than forging deep, reciprocal alliances. The article notes that China defines its relationships on its own terms, even with the US.

MIDDLE EAST & AFRICA

Abiy Ahmed dreams of remaking Ethiopia in his image

Ethiopian Prime Minister Abiy Ahmed, set for re-election, harbors an imperial vision to transform Ethiopia into a dominant Horn of Africa power, marked by ambitious economic liberalization and infrastructure projects. Despite IMF praise for economic progress, foreign direct investment remains low, manufacturing is declining, and official statistics are questionable, with millions still needing food aid. His concentration of power and perceived favoritism towards his ethnic group

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are fueling internal insurgencies and threatening national unity. Abiy's desire for Red Sea access also alarms Eritrea, making a regional conflict plausible, ultimately creating contradictions that destabilize his grand vision for Ethiopia.

Congo's response to Ebola is late and chaotic

Eastern Congo is facing its worst Ebola outbreak since 2018, with over 1,000 suspected cases and significant deaths, exacerbated by local community resistance, a deep lack of trust, and ongoing conflict. The response is chaotic due to the absence of rapid tests and a licensed vaccine for the Bundibugyo strain, coupled with inadequate training, funding, and infrastructure for health workers. Attacks on hospitals, patient flight, and perceived corruption (dubbed "Ebola business") further hinder efforts, alongside government restrictions on flights in and out of affected areas. There are rising concerns of regional spread to neighboring Uganda and

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South Sudan, highlighting the urgent need for a coordinated, effective response.

America and Iran are getting close to a deal. Or not

Donald Trump's administration has issued confusing signals regarding a potential deal with Iran, oscillating between claims of imminent agreement and no deal at all, even as America conducted renewed air strikes during a ceasefire. Negotiators are reportedly nearing an interim accord on broad principles and an extended ceasefire, but significant disagreements persist over Iran's demands for immediate economic benefits and the fate of its enriched uranium. Trump faces political pressure from both pragmatic Republicans wanting to end the war and hawkish ones fearing concessions. Israel also opposes the emerging agreement, complicating efforts to sweeten any deal with regional recognition.

The Gulf war makes devastating oil spills

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more likely

The ongoing Gulf War significantly escalates the risk of devastating oil spills, with recent incidents near Iran's Kharg island serving as a stark warning. Strikes on oil infrastructure, damage to heavily laden tankers, and sunk naval vessels are all potential sources of massive pollution in the crowded Gulf. A major spill would be exceptionally difficult to manage due to the active war zone deterring international assistance, complicating diplomatic coordination, and increasing the use of unidentifiable "shadow-fleet" ships. The environmental and human costs would be severe, threatening marine life, crucial coral reefs, and the desalination plants that provide drinking water for 100 million people, potentially hindering oil flow resumption.

Itamar Ben-Gvir has presided over horrific abuse in Israel's prisons

Itamar Ben-Gvir, Israel's national-security minister, has

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presided over horrific and publicized abuse in Israeli prisons, particularly targeting Palestinian inmates, a fact he proudly showcases. Under his tenure, prisoners' conditions have deteriorated drastically, including stripped cells, inadequate rations, beatings, and denial of medical care, leading to numerous deaths. Despite international condemnation and a rare rebuke from Prime Minister Netanyahu, Ben-Gvir retains his position due to his indispensable role in Netanyahu's governing coalition. Official accountability for these abuses has been minimal, with investigations rarely leading to charges, and Netanyahu's administration often dismissing reports of alleged misconduct.

EUROPE

Ukraine?s latest challenge is how to deal with hope

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Ukraine faces the complex challenge of managing growing hope for military success against Russia while confronting internal issues like corruption and democratic backsliding. On the battlefield, Ukraine's drone-led forces are inflicting heavy casualties and disrupting Russian supply lines, driven by its burgeoning domestic defense industry and consistent European aid. However, the prolonged war has strained critical infrastructure, impacted GDP growth, and exacerbated societal divisions, with conscription injustices and elite corruption eroding public trust and morale. President Zelensky's leadership style, perceived as increasingly detached and controlling, further complicates the nation's path to becoming a damaged but functioning democracy and a new middle power.

France's Gen Z has fallen for a 74-year-old radical socialist

Jean-Luc Mélenchon, a 74-year-old radical socialist, has surprisingly captivated France's Gen Z with his

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revolutionary rhetoric, anti-racist stance, and promises of taxing the rich and saving the planet. His Unsubmissive France party, mixing vintage class warfare with modern critical race theory, is thriving amidst a struggling political center, proposing a "new republic" and withdrawal from NATO. Despite high disapproval ratings and past controversies, Mélenchon's tactical acumen and ability to connect with young, educated voters and ethnic minorities have forged a "magic mix," making him a significant, albeit polarizing, force in French politics who defies the weakness typically seen in the European left.

Leo's first encyclical attacks technological messianism

Pope Leo's first encyclical, "Magnifica Humanitas," is a comprehensive critique of the unregulated development of artificial intelligence, specifically targeting the transhumanist and posthumanist visions of human enhancement and surpassing. The Pope warns that such

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technological messianism risks dehumanization, echoing the dangers of 20th-century eugenics by potentially justifying the devaluation of certain lives in the name of progress. He argues that imperfections are integral to humanity and must never be replaced by AI. Intriguingly, an analysis suggests that parts of the lengthy encyclical may have been written by an AI, specifically Claude, raising questions about the very technology being critiqued.

Europe's superyacht-builders hit choppy waters

Europe's superyacht construction industry, a global leader, is facing a downturn as orders splutter, particularly in Italy, due to the ongoing war in Iran. The conflict has increased marine diesel costs and created uncertainty for clients in the Middle East, potentially preventing boat deliveries. More significantly, the war has highlighted the lethal threat posed by cheap military drones, undermining the perception of superyachts as

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secure floating fortresses for the ultra-rich. This slump threatens a sector that contributes billions to Europe's economy and employs thousands, though the growing American market offers some resilience amidst these turbulent waters.

How the boomers screwed Europe

Europe's baby-boomer generation is accused of an "intergenerational confidence trick," securing generous pensions and affordable housing at the expense of younger generations. This has created "vertical inequality," with high property values and extensive state-funded pensions burdening current taxpayers and limiting capital for economic growth. The boomers' trend of having fewer children has exacerbated the worker-to-pensioner ratio, forcing the young to fund older generations' retirements while also saving for their own. This older electorate prioritizes immediate needs over future investment, leading to cuts in education and innovation, fostering a "weary mood" and "spirit of

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abdication" for Europe's future.

BRITAIN

Britain has crushed immigration, and harmed itself

Britain has drastically cut net migration to its lowest level since 2012, largely by implementing tighter visa rules, higher salary thresholds, and increased scrutiny on employers, reversing a previous surge. This aggressive policy, driven by public pressure and continued under the Labour government, has stemmed the flow of both skilled and low-skilled workers but has not translated into political approval, as many Britons still believe immigration is rising due to focus on asylum seekers. Economically, the approach is viewed as detrimental, impacting key sectors like IT and potentially reducing the productivity and appeal of incoming migrants.

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Proposed changes to permanent residence and citizenship could further marginalize migrants, making them less successful and desirable.

Immigration remains at the forefront of British voters' minds

Despite a significant decline in actual immigration numbers, the issue remains a top concern for British voters, many of whom mistakenly believe it is increasing. Public discontent is heavily influenced by the perception of uncontrolled asylum-seeker arrivals, particularly "small boats," which are vastly overestimated as a proportion of overall immigrants. Populist parties like Reform UK amplify these anxieties, contributing to a hardening of attitudes and a belief that migrants undermine British culture. While many Britons welcome specific skilled workers, the government's perceived failure to stop Channel crossings continues to fuel widespread dissatisfaction, overshadowing any successes in reducing overall migration.

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Alloyed shows how Britain hopes to make things in the future

Alloyed, an Oxford University spin-off, embodies Britain's ambition for future manufacturing by designing new metal alloys and 3D-printing intricate parts for defense and consumer electronics. The startup leverages the country's strong science base and government support for advanced manufacturing, developing micro turbines for drones and augmented-reality glasses. Its innovative business model aims to license "recipe books" of alloy designs globally, akin to Arm's strategy, to enable allies to onshore production. However, Alloyed faces practical challenges, including power limitations for advanced equipment and a national shortage of engineering talent, along with difficulties in securing R&D capital, though military demand is accelerating its growth.

Why Swindon is emerging as a centre for Britain's drone industry

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Swindon is rapidly transforming into a hub for Britain's drone industry, buoyed by the Ministry of Defence's plans for a large testing site and significant investment from foreign drone manufacturers. The town's industrial decline has paradoxically created advantages, offering affordable brownfield sites and a skilled manufacturing workforce displaced by factory closures. Its strategic location within Britain's defense-aerospace corridor, coupled with a supportive local council and proactive MP, further enhances its appeal. However, the nascent cluster's long-term growth and confidence hinge on the forthcoming publication of the government's "defence investment plan," which will detail future procurement and funding.

Britain is quietly de-Brexitting

Britain is subtly "de-Brexitting" by increasing alignment with EU regulations and seeking closer ties, driven by Brexit's economic costs and a shift in public opinion towards rejoining or closer links. A Labour government

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aims for a "reset" covering areas like food, energy, and defense, though significant market access is constrained by its "triple red lines" against the single market, customs union, and free movement of people. While financial disputes with the EU may be negotiable, the lack of domestic political consensus and opposition from right-wing parties pose challenges to deeper integration. Despite growing public support for free movement, Labour faces a difficult balancing act to negotiate a bespoke model, potentially inspired by Switzerland's partial membership, without abandoning its red lines.

How the Treat conquered politics

British politics has transformed into a "funfair state" where "Treats"—small luxuries like VAT cuts on theme parks—have become a central element of government policy, driven by a "cost-of-treats crisis." Chancellor Rachel Reeves's recent announcement reflects this shift, where public sentiment about economic hardship is increasingly tied to the affordability of minor

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indulgences rather than just basic necessities. This phenomenon, which began with pandemic-era state interventions like "Eat Out To Help Out," suggests Britons have developed absurdly high expectations of state provision. The dominance of the "Treat economy" and its political prioritization by Labour indicate a fundamental reorientation of state responsibility, potentially at the expense of long-term economic strategy and investment.

BUSINESS

Franchising has quietly made countless Americans rich

Franchising has emerged as a powerful engine of wealth creation and employment in America, boasting nearly 850,000 establishments and producing billionaires like Greg Flynn. The model, appealing to immigrants and

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younger generations seeking alternative career paths to white-collar jobs, thrives by aligning incentives between franchisors and franchisees in geographically dispersed industries. Franchising allows entrepreneurs to leverage established brands and systems, often resulting in higher performance than company-owned units. Despite criticisms regarding potential worker exploitation, the evidence suggests limited broad harm, and addressing issues like no-poach clauses has further solidified its role as a key pathway to the American dream.

Everything is going right for India's richest man

Gautam Adani, India's wealthiest industrialist, is on an unprecedented winning streak, having successfully settled three significant legal cases with the US government over alleged bribery and sanctions violations, potentially aided by his investment offers to the Trump administration. This legal clearing comes after he rebounded from a 2023 Hindenburg Research

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fraud allegation that wiped billions from his conglomerate's value. Now, Adani Group's market value is surging, benefiting from India's clean energy push and ambitious AI investments, allowing Adani to surpass Mukesh Ambani as the country's richest man. His continued political alignment with Prime Minister Modi also promises further infrastructure deals.

The world's top condom-maker is getting squeezed

Karex, Malaysia's world-leading condom manufacturer, is facing significant financial pressure, reporting consecutive quarterly losses and a sharp drop in share price. The company's struggles are attributed to cuts in America's aid budget affecting international health agencies' contraceptive spending, alongside the impact of tariffs and a weakening dollar. The Gulf War has further exacerbated costs for raw materials like silicone oil and aluminum, forcing Karex to consider price increases that could deter customers. Despite these

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challenges, Karex is innovating with synthetic nitrile condoms, suggesting a potential recovery if it can navigate current geopolitical and economic headwinds.

Ferrari's electric car: divisiveness is the point

Ferrari unveiled its first electric vehicle, the Luce, a radical and intentionally "polarizing" departure for the Italian marque, featuring five seats, four doors, and a minimalist design. Priced at \$550,000, the Luce aims to establish Ferrari in the EV market by attracting both loyal existing customers and new, tech-oriented clientele with its bold aesthetic. Despite a recent drop in Ferrari's market capitalization and a scaled-back electrification target, the company believes it can achieve a healthy profit from relatively low sales volumes. The divisiveness is a calculated maneuver to lead future trends and expand the brand's appeal to a broader audience.

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How should bosses talk about AI?

Bosses face a critical challenge in discussing AI with employees, who are experiencing "FOBO" (fear of becoming obsolete), a sentiment exacerbated by clumsy corporate language. Research indicates that job insecurity negatively impacts employee health and performance, but trust in management can mitigate these effects. While some jobs are more vulnerable to AI, they aren't exclusively "lower-value," as shown by software engineers. Companies should prioritize transparent communication, identify future human skills, and invest in retraining programs to help employees adapt and embrace AI, thereby retaining their expertise and fostering a more prepared workforce.

BP cares too much about feelings and not enough about performance

BP's abrupt sacking of chairman Albert Manifold after less than eight months, ostensibly for "governance

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oversight and conduct" issues, highlights a corporate culture that critics argue prioritizes subjective concerns over concrete performance. Manifold, known for his direct style, attributed his ousting to his aggressive cost-cutting efforts. The board's vague statement sparked market uncertainty and a share price drop, contrasting with the value creation seen at other oil majors whose leaders are less concerned with "feelings." The incident is seen as a "very British shambles," suggesting BP, once a symbol of British industrial might, now mirrors its decline, failing to balance internal dynamics with the demands of global energy markets.

FINANCE & ECONOMICS

Japan, South Korea and Taiwan are suffering industrial rot

Japan, South Korea, and Taiwan are experiencing an

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"industrial rot" where their booming, AI-driven tech exports (primarily chips) obscure a broader deindustrialization caused by intense competition from China in other manufacturing sectors. This over-specialization creates economic fragility, making them vulnerable to tech market volatility and US-China trade tensions, while decades of policies favoring exports have suppressed domestic demand. Weak welfare states and warped labor markets with growing "underclasses" further exacerbate the problem, leading to widely shared complaints about "K-shaped" economies where prosperity is narrowly distributed, making the region's all-in bet on AI-related exports a risky trifecta.

Crackdowns on financial secrecy aren't hurting offshore finance

Despite global crackdowns on financial secrecy since the 2007-09 crisis, offshore financial hubs are thriving, with total assets doubling and international corporate bonds increasingly issued in these centers. Their resilience

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stems less from opacity and more from being small, nimble, and well-regulated in niche areas like reinsurance and private-credit funds. Jurisdictions like Bermuda and the Cayman Islands have even attracted more investors through increased oversight. Offshore centers also serve as crucial conduits for wealth from emerging markets and Chinese firms navigating capital controls, demonstrating their remarkable adaptability and indispensability in a fragmenting global economy.

How to tax businesses in orbit and beyond

The burgeoning commercial space sector, projected to reach \$1.8trn by 2035, presents a significant challenge for tax authorities due to outdated space law and the lack of a clear definition of "space." Current tax frameworks largely target Earth-bound activities, but the rise of private space stations and the potential for off-Earth economic activity raise complex questions about tax powers and national sovereignty. The risk of companies using "flags of convenience" in low-tax jurisdictions, or

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even operating outside any nation's territory, highlights the need to revisit existing treaties. The increasing profits from space activities could eventually lead to an "irresistible temptation" for nations to carve up and tax celestial bodies and orbital spaces.

Kevin Warsh's troublesome inflation in-tray

Kevin Warsh, the new Federal Reserve chairman, faces a challenging mandate to lower interest rates quickly from President Trump, despite America's accelerating inflation, exacerbated by the Iran war. Broader inflationary pressures, including rising services and durable goods prices, make it difficult to dismiss the energy shock as temporary, while market expectations for inflation have climbed. Warsh is squeezed between a hawkish Fed committee, markets signaling potential rate rises, and a president demanding cuts. His position is made more uncomfortable by the risk of appearing weak or disloyal, especially with midterm elections

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approaching, as underlying inflation remains well above the central bank's target.

Giga-IPOs are a symptom of public markets? giga-problem

The impending giga-IPOs of SpaceX, OpenAI, and Anthropic, while generating excitement, are a symptom of a larger issue: the shrinking number of public companies in America, which limits ordinary investors' access to market dynamism. As firms list later and at much higher valuations, the "outliers" that drive market returns are becoming rarer, with most IPOs underperforming. The proliferation of venture capital allows founders to avoid public market scrutiny for longer, keeping significant wealth creation in private hands. This trend means that much of the upside of innovative companies is increasingly out of reach for public market investors, unless these gargantuan new listings defy historical returns.

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Without fanfare, China is making rural migrants' lives easier

China is quietly relaxing its restrictive hukou (internal passport) system, making it easier for rural migrants to access urban social services and reducing their need for precautionary saving. The number of migrants qualifying for urban hukou has drastically increased, and the government is extending public services to unregistered residents, leading to a narrower gap in saving rates between urban and rural hukou holders. This shift, while incremental and uneven, could boost domestic consumption, thereby reducing China's export surplus and easing trade tensions with global partners. The reforms aim to dismantle the "invisible walls" within cities that have long contributed to migrants' insecurity and high thriftiness.

SCIENCE & TECHNOLOGY

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Tomorrow's medical sensors might come served with dinner

Researchers are developing edible electronic sensors, such as the GISMO capsule, that can travel through the human gut, wirelessly reporting chemical readings crucial for diagnosing diseases and enabling targeted drug delivery. These innovations, building on ingestible cameras and gas-sensing capsules, aim for non-invasive, precise monitoring of gut health. A major advancement is the creation of "electronic food," with components made entirely from food-derived materials like riboflavin batteries and toothpaste transistors, addressing the challenge of power sources. Despite hurdles in energy capacity, signal transmission, and regulatory approval, these devices hold promise for transforming gastrointestinal diagnostics and therapies.

Too much time with colleagues can sour social interaction

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A study of researchers overwintering at an Antarctic station revealed that prolonged, confined social interaction can paradoxically lead to increased loneliness, paranoia, and group conflict, reversing the typical benefits of social contact. The "hivernauts" experienced declining individual performance and worsening team dynamics over ten months, suggesting that a lack of privacy in such isolated environments is a key factor. This research offers valuable insights for long-duration space missions, emphasizing the importance of soft skills like teamwork and conflict management in pre-mission training to foster positive social interactions.

Mosquitoes seem to be getting over insect repellent

Mosquitoes are reportedly becoming tolerant to DEET, the gold-standard insect repellent, by learning to associate its odor with food, effectively "getting over their revulsion." Experiments demonstrated that hungry

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mosquitoes exposed to DEET while feeding subsequently bit DEET-coated hands, unlike those conditioned with ordinary air. This conditioning suggests that in real-world scenarios, where DEET's effectiveness can be compromised by sweat or insufficient application, mosquitoes can overcome their aversion. This learned behavior could make the insects more dangerous to lightly protected individuals, potentially undermining DEET's long-term efficacy.

You probably don't need extra electrolytes

For most non-athletes with a healthy diet, extra electrolytes are likely unnecessary, despite popular claims of "superior" hydration. Electrolytes, crucial minerals lost in sweat, are primarily needed by individuals engaged in intense physical activity or suffering from illnesses like acute diarrhea or prolonged vomiting, where water alone can dilute blood electrolytes. While supplements can aid fluid absorption and retention for endurance athletes or help cancer

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patients, daily consumption by sedentary individuals can lead to overburdened kidneys and adverse health effects due to excess sugar, additives, and mineral imbalances. The scientific consensus suggests that for the average person, water remains the best choice for hydration.

CULTURE

The best books of 2026 so far

This section provides a curated list of notable books published in 2026 across various categories, including business, science, technology, culture, current affairs, politics, fiction, history, memoir, and biography. The selections cover diverse topics, from the mystery of consciousness and the dynamics of media empires to the impact of AI on warfare and the challenges of global disorder. Recommendations span genres, offering engaging reads for different interests and time

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commitments.

The tumult of Erdogan's rule, seen from one district in Istanbul

Suzy Hansen's book, "From Life Itself," offers an intimate portrait of Istanbul's transformation under Recep Tayyip Erdogan, focusing on the conservative district of Karagumruk. Through a close examination of local life, the book explores the social and political changes, culture wars, and economic malaise experienced by residents, especially following the influx of Syrian refugees. Hansen's narrative reveals the gradual descent into authoritarianism, where mistrust spreads and dissent narrows, providing a crucial window into the nuanced realities of contemporary Turkey beyond geopolitical headlines.

The hard-hitting youngster sending cricket fans into a spin

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Vaibhav Sooryavanshi, a 15-year-old cricket prodigy, is captivating fans with his exceptional power-hitting for the Rajasthan Royals in the Indian Premier League (IPL). Despite his youth, he has become the youngest professional to score a century and has set new records for sixes, demonstrating a unique blend of technique, physique, and audacious temperament. Sooryavanshi embodies the Twenty20 (T20) format's emphasis on aggressive batting and represents a broader shift in Indian cricket, having emerged from a small town in Bihar to become a national hero and a potential future megastar.

Marilyn Monroe and the dead-star business

On her centenary, Marilyn Monroe remains a commercial powerhouse, with Authentic Brands Group capitalizing on her enduring image and intellectual property through extensive licensing, exhibitions, and new products. The "dead-star business" leverages copyrights, trademarks, and publicity rights to generate

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significant revenue and maintain celebrity relevance across generations. This industry actively manages celebrity brands, producing biopics and even digital avatars, while also facing challenges from unauthorized uses facilitated by new technologies like AI. Living legends, like David Beckham, are also co-owners in similar brand partnerships, highlighting the evolving landscape of personal brand management.

Beverly Gage, a Pulitzer-prizewinning historian, takes the wheel

Beverly Gage, a Pulitzer-prizewinning historian, offers an enjoyable historical road trip through America in her new book, "This Land Is Your Land," exploring the nation's key tensions from its founding to the present. Gage's journey from Philadelphia to California, visiting historic sites and presidential libraries, avoids simplistic narratives and instead finds a hopeful faith in America's capacity for reinvention. Despite contemporary political fractiousness, her backward glance provides a heartening

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perspective on American progress as the nation approaches its semiquincentennial.

ECONOMIC & FINANCIAL INDICATORS

Economic data, commodities and markets

No significant coverage this issue.

OBITUARY

Barney Frank always took the underdogs? side

Barney Frank, the trailblazing Democratic congressman, is remembered as a pragmatic liberal who championed government's role in aiding society's underdogs throughout his career. As the first openly gay man in

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Congress to come out voluntarily, he spearheaded advancements in gay rights, including military service and workplace anti-discrimination. Despite a brusque public persona and an earlier scandal, Frank was embraced by colleagues and constituents, demonstrating changing times. He considered the Dodd-Frank banking reform of 2010, which reined in risky lending and protected consumers, his greatest achievement, consistently prioritizing the right to a roof over every head.